

ECON 0100 | Vignette A2 | Advantages

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day. Katie Bell also bakes cornish pasties and cauldron cakes at a neighboring bakery. She can bake 15 pasties or 8 cakes in one day.

Q1 | Absolute Advantage

Set up a production table with both Colin and Katie's output per day. Who has the absolute advantage (AA) in pasties? In cakes?

AA in P: _____

AA in C: _____

Q2 | Comparative Advantage

Set up an opportunity cost table with Colin and Katie's opportunity costs for each good. Who has the comparative advantage (CA) in pasties? In cakes?

CA in P: _____

CA in C: _____

Q3 | Better at Both

Suppose Katie buys a new oven and can now bake 25 pasties or 8 cakes in one day. Update both tables. Who has the comparative advantage in each good?

CA in P: ____ *CA in C:* ____

ECON 0100 | Vignette A3 | Trade

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day, and Katie Bell, back on her original oven, can bake 15 pasties or 8 cakes.

Q1 | Trade

Suppose Colin and Katie realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

1 C for _____ P

Q2 | Accept or Reject

Katie offers Colin 1 cake for 5 pasties. Does Colin accept? Why or why not?

Accept or Reject: _____

Q3 | Changing Labor

It turns out Colin wants to add hours to his job, so he increases from 5 to 8 hours per day. Set up Colin's old and new PPF on the same graph. What is Colin's new opportunity cost of cake? Write a short description of how this increase in hours would impact the trade with Katie you found in Q1.

New opportunity cost of 1C: _____